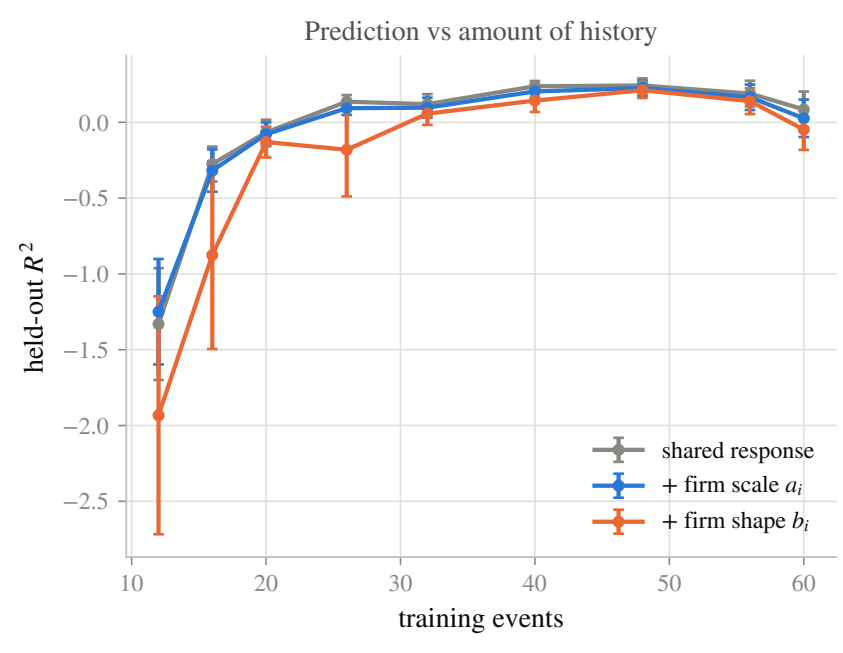
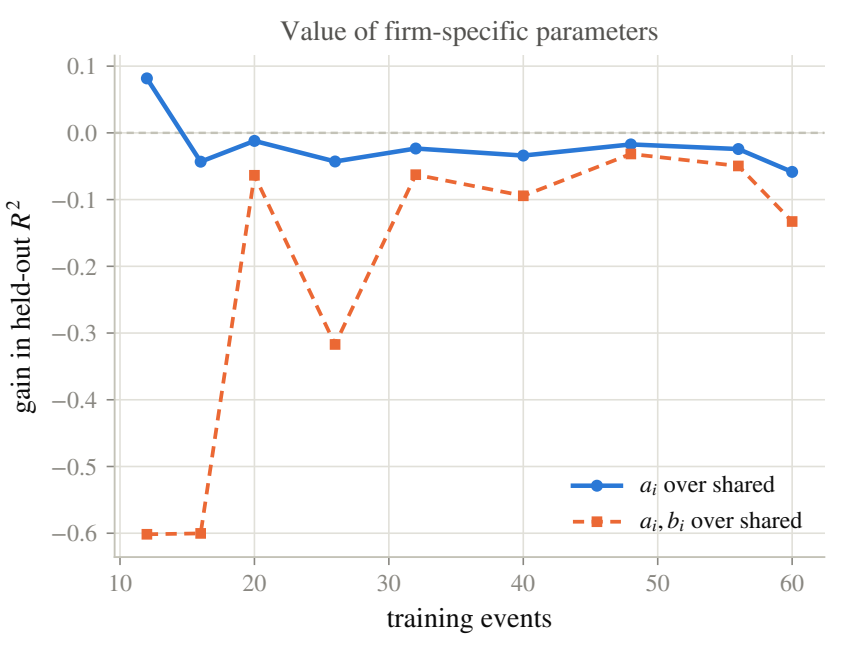

Prediction vs amount of history
held-out R^2
0.0
−0.5
−1.0
−1.5
−2.0
−2.5
10
20
30
40
50
60
training events
shared response
+ firm scale a_i
+ firm shape b_i


Value of firm-specific parameters
gain in held-out R^2
0.1
0.0
−0.1
−0.2
−0.3
−0.4
−0.5
−0.6
10
20
30
40
50
60
training events
a_i over shared
a_i, b_i over shared